PREMIER VETERINARY GROUP

Pets at their best.

Annual Report and Financial Statements

for the year ended 30 September 2020

Premier Veterinary Group plc

A leading independent provider to the veterinary sector of preventative healthcare programmes for pets in the UK, Europe and the USA.

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Legal notice

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GROUP STRATEGIC REPORT
FOR THE YEAR ENDED 30 SEPTEMBER 2020

Results

Despite the constraints of the Covid pandemic, the Group's total revenue from continuing operations for the year ended 30 September 2020 was £3,997k, an increase of 3.5% (2019: £3,861k). This growth was driven by an increased number of fee-generating pets on plan throughout the year and growth in the uptake of Home Delivery services.

£000s	Revenue	
	2020	2019
PPCP – UK	2,115	2,106
PPCP – Europe	872	924
PPCP – USA	1,009	831
Total	**3,997**	**3,861**

£000s	Operating Profit/(Loss)	
	2020	2019
EBITDA*		
PPCP – UK	395	461
PPCP – Europe	113	(593)
PPCP – USA	(178)	(678)
Total EBITDA from PPCP	**330**	**(810)**
Central unallocated costs	(1,085)	(1,437)
Total EDITDA from continuing operations	**(754)**	**(2,247)**
Depreciation and amortisation	(195)	(208)
Finance Expenses	(731)	(504)
Loss before Income Tax	**(1,681)**	**(2,959)**

* EBITDA represents earnings before interest, tax, depreciation and amortisation.
Central unallocated costs have reduced by £352k relative to the previous year.

Interest costs for the year were £731k (2019: £504k).

The loss from continuing operations after tax reduced from £2,926k to £1,390k, directly as a result of the increase in revenues and continued focus on controlling the Group's relative cost base. Overall operating costs have reduced by £1,369k whilst interest costs have increased by £227k.

Principal Activity and Review of the Business

Premier Veterinary Group plc ("PVG", the **Company**) is the parent company of the PVG Group of companies (the **Group**). It provides services to veterinary practices, retailers and pharmaceutical manufacturers through its UK and overseas trading subsidiaries. The principal trading company is Premier Vet Alliance Limited ("PVA"). The Group has grown businesses in the UK, Europe and USA since its launch in 2010.
On October 12 2020 the Group completed the acquisition of The Animal Healthcare Company Limited which was financed by a convertible loan of £1.53m (convertible to 15,346,949 Ordinary Shares and a £1.5m short term loan. The acquisition is transformational for the Group in terms of scale and profitability.
Prior to the listing of PVG on the London Stock Exchange in 2015, PVA owned a number of veterinary practices. Management is therefore well placed to use its accumulated veterinary knowledge and expertise to focus on developing preventative healthcare programmes and other initiatives to improve compliance in the use of vaccines, parasiticides and long-term therapeutic drugs for its customers resulting in healthier outcomes for pets. The investment in the global technology platform provides further capability to deliver efficient and flexible solutions including multi-currency processing capabilities and home delivery services.

It has been estimated by the UK Pet Food Manufacturers' Association (Source: www.pfma.org.uk/statistics) that 3.2 million households in the UK have acquired a pet since the start of the Covid-19 pandemic. Although there has been considerable need to adjust working procedures both by the pet owning public and by the veterinary clinics serving their pet health needs, 2020 saw positive progress in the continuation of PVG business growth. The number of revenue-generating pets on plan across PVG operations in the UK, Europe and the USA has increased by 17% on the previous year to 363,400 from 311,000 as at the end of the financial year. The Group has continued to pursue its strategy to leverage strategic partnerships and to focus on its core territories to increase its growth potential. Investment has been maintained in the operating model, core infrastructure and work with clients to support them as business solutions and opportunities are developed.

The worldwide operation of Premier Pet Care Plan ("PPCP") is facilitated by its bespoke software system. The Group will continue to add functionality to the platform, after careful assessment, with the intention of developing further revenue generating opportunities, creating bigger barriers to entry and delivering competitive advantage.

Despite the universal impact of the coronavirus pandemic, PVG has continued to make significant investment across all its geographical territories to ensure that it remains at the forefront of working with veterinary practices to deliver preventative healthcare programmes for pets.

UK

In the UK, PPCP revenues are up by 0.4% to £2,115k (2019: £2,106k). The increase in revenues from veterinary clinics driven by the continued growth in pets on plan is largely offset by a reduction in revenues from other third parties. EBITDA generated by the PPCP business in the UK has decreased by 14% to £395k (2019: £461k). This decrease is due to the change in the mix of revenue as described above.

The UK business has grown the number of pets on plan from 240,000 to 285,000 representing 19% year on year growth.

The UK business is well established, cash generative and continues to see opportunities for growth from its existing customer base and new customer opportunities. Work continues with customers to enhance the quality of real time information on the performance of PPCP in each clinic provided by the bespoke Platform.

The UK business currently has contracts with clinics employing 1,501 (2019: 1,361) Full Time Veterinary Equivalents ("FTVEs") signed up to the PPCP and management recognises that there are good opportunities for further growth within the UK independent veterinary market, by partnering with leading UK corporate groups and by leveraging the strategic relationships the business has with manufacturers and distributors. The acquisition of The Animal Healthcare Company will provide access to a significant portion of this market (refer note 27).

The Home Delivery service has been further developed in the UK market and this has provided an enhanced service, bonded our customers, and will continue to provide significant growth opportunities in this home market.

Europe

Further progress has been made in the number of pets on plan across Europe during the financial year.

The business continues to keep under careful review the current political and financial uncertainties as Brexit and the related transition impacts on different areas.

Current indications are that existing operations can be maintained and the present strategy pursued in current and any future European territories, particularly through the development of a home delivery solution.

Operations in Europe have continued to see an increase in the number of pets on plan from 52,500 to 54,100, representing a 3% increase on the same period last year despite limitations on activity imposed by the Covid pandemic. Despite reduction in European derived revenues by 6% to £872k (2019: £924k), tightened cost control has improved the EBITDA position in this region from a loss of £593k in 2019 to a profit of £113k in 2020.

The Covid pandemic constraints have impacted ability to visit existing and potential client sites. However, the overall performance of the European business for the current financial year is in line with management expectations.

The Group's most significant territory in Europe is the Netherlands in which the Huisdieren Zorg Plan "HZP" was launched during 2015 and has been profitable since 2019. The Group is contracted with clinics employing over 375 FTVE, representing approximately 25% of the Dutch market. In the last 12 months, there have been increased levels of clinic acquisitions by corporate veterinary groups and the number of pets on plan has reduced in the year by 3% to 35,300 as at 30 September 2020 (30 September 2019: 36,500). This presents both opportunities and threats for the Group's future Netherlands operations. To recognise this shift in the market a new strategy has

been implemented whereby the territory is now managed from the UK which has resulted in a significant reduction in costs. Opportunities regarding a Home Delivery option for this territory are being pursued which would secure future business and investment opportunities to enhance services and deliver subsequent growth continue to be reviewed.
The PVG operation in France is branded as Premier Veto Plan ("PVP") through which there were 17,000 pets on plan as at 30 September 2020 (30 September 2019: 14,000). The business now has launched PPCP with clinics employing 577 FTVE.
The business continues to pursue opportunities in France, with an available market for preventative healthcare programmes for pets across France estimated at over 7 million dogs (similar to the UK) and over 11 million cats (more than 30% higher than the UK) (Source: FACCO, France).

USA
Operations were first established in the USA during 2016. The business continues to work hard in the USA to focus on changes implemented to satisfy the specific need of the USA market. A revised strategy of focussing on corporate owned groups, with introductions provided by the major pharmaceutical companies and distribution partners, is continuing to deliver growth. However, the impact of the coronavirus pandemic in the USA has led to access to clinics being extremely difficult.
Estimates vary about the available market for preventative healthcare programmes for pets across the USA, however that quoted by the American Veterinary Medical Association ("AVMA") estimates there to be 77 million dogs and 58 million cats (Source: 2017-2018 U.S. Pet Ownership & Demographics Sourcebook). The number of pets on plan increased to 24,300 as at 30 September 2020 (30 September 2019: 19,000). Clinics employing 620 FTVE have currently launched PPCP.
Revenues are up by 21% to £1,009k (2019: £831k) and the EBITDA loss improved from £678k to £178k.

Principal Risks and Uncertainties

Working and providing services across various territories requires employees to take accountability for identifying and effectively managing risks through a system of policies and procedures.
Risk registers are in place and training is assessed to ensure the appropriate knowledge and skills are in place where and when they are needed. Where appropriate the business will use the services of external expertise and service providers to help us audit our systems and procedures and improve where we need to. The Board and management teams are actively engaged in assessing risk and providing oversight.

The Group regularly undertakes risk assessments that are reviewed by those with responsibility for the functions or relevant parts of the business. In the last year the Group reviewed its risk framework and process to meet the ongoing needs of the business.

The principal risks relating to the Group's business (which the directors believe include all known material risks in relation to the Group or its industry) are set out below and remain appropriate since the acquisition of The Animal Healthcare Company Ltd.

No	Identified Risk	Risk Description	Mitigation	Change since 2019
1	Market Competition	Not competing effectively with existing and potential competitors in the market has the potential to adversely impact the Group's business, results of operations or financial condition. Competition comes from a number of sources – not only other providers of preventative health plans but also from veterinary practices providing preventative health plans of their own. Furthermore, industry consolidation poses a competitive risk where customers are acquired by other veterinary groups who wish to transfer the acquiree to their own preventative health plan. The Group faces these multiple sources of competition and may not have the resources to respond adequately to this competition. Further, there can be no assurance that the Group will not face greater competition from new entrants in the UK market from abroad or in our overseas territories.	To enhance and develop product and service offerings to ensure they remain competitive. To monitor the competitive landscape across all existing and potential new markets and territories as part of business development. To strengthen existing customer relationships and develop these to ensure long term strategic partnerships across all territories.	Unchanged.

2	Consumer spending and preferences	A decline in consumer spending or a change in consumer preferences could reduce the Group's sales or profitability and harm the Group's business. The Group's sales depend on consumer spending, which is influenced by factors beyond our control, including general global macroeconomic conditions, gross domestic product of UK, Europe and USA, employment levels, the availability of discretionary income and credit to consumers, consumer confidence, tax or interest rate fluctuations, fuel and other energy costs, pet healthcare costs and weather. Global or national political unrest or uncertainty may impact the price paid by consumers for goods, services and commodities, reduce consumer spending and confidence and reduce the Group's sales or profitability. The keeping of pets and the purchase of pet-related products and services may constitute discretionary spending for some customers, and any material decline in the amount of consumer discretionary income or spending could reduce overall levels of pet ownership or spending on pets and adversely affect the Group's sales of products and services, including through impulse purchases and/or consumer expenditure on veterinary and preventative healthcare programmes. If any such declines occurred and were prolonged or severe, they could have a material adverse effect on the Group's business, results of operations, or financial condition. Failure to identify or respond to changing consumer tastes, preferences and spending patterns effectively, as well as pet ownership trends and pet care needs could adversely affect the Group's business.	To monitor and to identify and respond to evolving trends in demographics and consumer preferences across operating territories. Diversify risk through geographical expansion to reduce any exposure to reduced consumer spending in one region.	Unchanged.
3	Brand Reputation	Any events that negatively impact the reputation of, or value associated with, the Group's brand, including the services sold or provided by the Group, could adversely affect the Group's business, results of operations or financial condition. Growth is dependent on the Group strengthening its brand. Maintenance of the reputation and value associated with, the PVG and PVA brands, is central to the success of the Group's business. The Group could be adversely affected if customers lose confidence in the services sold or provided by the Group. The real or perceived failure of the Group to administer preventative pet healthcare programmes to a high standard could adversely affect the Group's reputation and result in a loss of consumer confidence. Unfavourable publicity concerning the services associated with the Group's brand could have a material adverse effect on the Group's business, results of operations or financial condition.	The Group is committed to provide the highest level of customer service. This is essential to maintain confidence in brand and services and further strengthen strategic partnerships. All sales and customer facing teams receive intensive induction training and regular ongoing updates.	Unchanged.
4	New Initiatives	Failure by the Group to expand the pet healthcare services could adversely affect sales growth and profitability, and any failure by the Group to launch new initiatives effectively could have a material adverse effect on the Group's business, results of operations or financial condition. There can be no guarantee that the Group will be able to increase the number of Premier Pet Care Plans sold.	The Group seeks to mitigate this risk by enhancing and developing its product and service offering and by working with third parties to access new markets.	Unchanged.
5	Management of growth and expansion	The Group must manage effectively the growth of its operations; an inability to manage such expansion and the associated costs may have a material adverse effect on the Group's business. PVG operates in the UK and has recently expanded its operations in parts of Europe and the USA. The Group's ability to manage its growth across all its territories effectively requires it to continue to improve and expand its operating, financial and management controls, reporting systems and procedures, and to recruit, train, motivate and manage its employees. There can be no assurance that the Group will be able to implement these programmes effectively or improve its management information and control systems in an efficient and timely manner or that, if implemented, such improvements will be adequate to support the Group's operations. Any inability of the Group to manage its expansion successfully could have a material adverse effect on its business.	To continue to improve and expand our operating, financial and management controls, reporting systems and procedures in order to support employees in their roles to support the objectives of the Group. To continue to recruit, train, motivate and manage its employees to ensure its ability to retain employees for as long as is practicable to ensure continuity of service and the ability to achieve objectives.	Unchanged.

6	International Expansion Risk	The Group may face difficulties in effectively controlling, exploiting and/or managing its services, and their commercialisation, internationally. In order to access foreign countries effectively, the Group may have to rely on third parties to carry out and perform the marketing and commercialisation of its services in those territories. The Group would, therefore, have less control over marketing and sales of its services internationally and there is a risk that the Group's services may not be effectively commercialised abroad. In addition, changes in international trade agreements which may be impacted by political events, such as Brexit, may impact the Group's operational structures abroad.	Close management of overseas contractors is maintained, and relationships are reviewed at monthly management meetings. To mitigate this risk, management seek references for third parties they may engage with and hold regular face to face meetings to monitor performance. Third party experts are engaged in territories to ensure the Group is compliant with local rules and regulations. The Group continues to monitor any changes from Brexit and other regulatory changes.	To date there has been no material impact on the Group as a result of Brexit.
7	Financial Liquidity Risk	Changes in the Group's trading performance and operating cash flow may create pressure on its funding position. Changes in the operating performance of the business may put pressure on the Group's funding position.	As disclosed in the paragraph on Going Concern in the Directors report, and in note 3 to the financial statements the Group has sufficient funding in place to give the directors reasonable expectation that the Group and Company have adequate resources to continue in operational existence for the foreseeable future. The Group continually monitors its future cashflow projections. The Group continues to review funding options on a regular basis.	Following the acquisition of The Animal Healthcare Company Ltd the Group is no longer loss-making.
8	Direct Debits	PVA's status as a Direct Debit originator could be revoked by the sponsor bank. If insufficient time was not afforded by the sponsor bank upon such revocation, there would be disruption to the Pet Care Plan business and the obligations to its veterinary members could not be fulfilled.	The Group seeks to mitigate this risk by adhering to all rules and regulations relating to its status as a direct debit originator and by maintaining a close relationship with the sponsor bank.	The Group is currently undergoing registration with the FCA.
9	Attraction and retention of Key Employees	The Group is significantly dependent on certain key Board and management personnel and whilst PVG has entered into employment arrangements with each of its key personnel with the aim of securing their services, the retention of their services cannot be guaranteed. This carries a risk of losing good people and with it their knowledge and skills of the business. The loss of those employees could weaken the Group's Board and management capabilities, resulting in delays in the development of its services and impacting negatively on the Group's business. Competitors may try to recruit some of the Group's key employees.	Recruiting and retaining key personnel as the Group develops is critical to the Group's success. Roles and responsibilities are clearly defined and recorded, and systems and procedures are put in place to support business growth and ensure a level of continuity in the event employees move on in their careers. Incentive and reward structures are regularly reviewed to ensure the business remains a competitive employer. Build teams where expertise is not confined to one person	Unchanged.
10	Security – Anti-Virus & Spyware	Remote user has a virus or spyware infection as they do not have up to date virus definition files. Possible data loss decreased network performance, application errors, transmission of virus to other users.	Networks protection by antivirus and antispyware software with automatic updates. Continual staff education on minimising infections. Weekly checks of hard and software Internal policies.	Continual monitoring and upgrading of antivirus and antispyware software.
11	IT & Data Protection	Loss of equipment e.g. PC, USB stick, CD/DVD containing confidential data. Emails send to incorrect address resulting in confidential data being sent to inappropriate recipients. Unauthorised access, cyber-crime resulting in loss of confidential information.	PCs are password protected, known only to user. Passwords used for confidential/sensitive documents. All computers and laptops powered off when not in use. Staff training on use of laptops and documents when travelling to ensure information not overseen by others. Restriction of use of open wireless networks.	Ongoing monitoring.

12	Litigation	The Group may be subject to complaints and litigation, which could damage the Group's brand and reputation and divert management resources. From time to time the Group may also be the subject of complaints and litigation from its customers, employees or other third parties, alleging injury, health, environmental, safety or operational concerns, nuisance, negligence or failure to comply with applicable laws and regulations. Any such complaints and claims, even if successfully resolved without direct adverse financial effect, could have a material adverse effect on the Group's brand and reputation and divert its financial and management resources from more beneficial uses. If the Group were to be found liable under any such claims, the Group's business, results of operations or financial condition could be materially adversely affected.	The Group works closely with its legal advisors to reduce the likelihood of such issues arising.	Unchanged.
13	Pandemics and other worldwide events: COVID-19	The Group will always be at risk from extreme and unexpected global events affecting our ability to operate. This could be an event that effects our people, our offices, our IT systems, or any other aspect of our operations. This was the case with the COVID-19 pandemic which started in 2020 and continues to create global uncertainty. Whilst the impact on the Group has been relatively minimal to date, due to proactive management by the Group's Senior Leadership Team, there will continue to be a risk to revenues and profits whilst restrictions persist.	Regular review and updating of forecasts to understand and mitigate any potential adverse effects on revenues. Maintenance of close working relationships with suppliers and customers. Continuing to support staff through an extended period of remote working.	New risk

Financial Risk Management

The Group's financial risk management policy is set out in note 4 in the notes to the consolidated financial statements.

Statement on the discharge of directors' duties under Section 172 of the Companies Act 2006

In compliance with the Companies Act 2006, the Board of Directors are required to act in accordance with a set of general duties. The Board considers that it has, individually and collectively, during 2019/2020 acted in a way which will be most likely to promote the success of the Group and Company for the benefit of the shareholders and other stakeholders, having regard to the likely consequence of decisions for the long term and the Group's wider relationships.

During 2019/20 the directors:

a) continued the policy of promoting from within the existing workforce where possible and providing a range of training opportunities, using a number of external training partners;
b) continued to seek to maintain appropriate, long-term and rewarding relationships with customers and suppliers;
c) continued to try and minimise adverse effects of the Company's operations on the local community and the environment, including taking steps such as: securely shredding and recycling confidential waste paper; recycling used toner cartridges; switching off non-critical equipment and lighting when not in use; preferentially purchasing low-energy electrical equipment; and minimising travel and conducting business remotely wherever possible.
d) continued to work to maintain a reputation for high standard of business conduct and probity in its operations.

Approved by the Board and signed on its behalf by:

Andrew Paull
Chief Financial Officer

Registered Office
New Bond House
Bond Street
Bristol
BS2 9AG

Company Registration No: 04313987

DIRECTORS' REPORT
FOR THE YEAR ENDED 30 SEPTEMBER 2020

Directors' and Officers' Liability Insurance
The Company has made qualifying third-party indemnity provisions for the benefit of its directors, which remain in force during the financial year and at the date of this report. In addition, the Company has purchased and maintains Directors' and Officers' liability insurance cover against certain legal liabilities and costs for claims incurred in respect of any act or omission in the execution of their duties.

Dividends
The Directors are unable to recommend the payment of a dividend (2019: £nil).

Political Donations
The Group made no political contributions or incurred any political expenditure during the year.

Post Balance Sheet Events
On 12 October 2020 the Company purchased 100% of the share capital of Animal Healthcare Company Limited ("AHC"), this is a non-adjusting post balance sheet event. Pre-acquisition costs of £310k are included in prepayments.

In May 2021, the Group repaid £600k of the Bybrook Financial Services Limited loan facility. Agreement has been reached to extend the repayment date of the remaining balance of £3,850,000 to 31 July 2022. If not repaid by that date then the repayment date will be automatically extended to to 31 December 2022 subject to the payment of a 10% arrangement fee.

Future Developments
Following the acquisition of The AHC Ltd, there has been a transitionary period whereby infrastructure developments have been required in order that the additional pets on plan acquired be transitioned into the systems operated by the Group. The full integration of these pets occurred in May 2021 and future revenues are expected to be significantly in excess of those reported in 2020 and prior years.

Activities Involving Research and Development
The Group has engaged with a number of contractors in the year with a view to developing the Pet Care Plan ("PCP") portal. Such developments have been made in order to facilitate the processing of greater numbers of pets on plan and to enhance the overall user experience.

Disabled Employees
The Group gives full consideration to applications for employment from disabled persons where the requirements of the job can be adequately fulfilled by persons with a disability.
Where existing employees become disabled, it is Group policy wherever practicable to provide continuing employment under normal terms and conditions and to provide training and career development and promotion to disabled employees wherever appropriate.

Engagement with Employees
During the year, the Group has continued to operate with the interests of all employees in mind and has consulted and informed employees on matters affecting them as appropriate. Regular communication to all employees has been facilitated in the year, regarding factors which impact the performance of the Group, both financial and otherwise. This has been a particular focus during the Covid-19 pandemic.

Engagement with Suppliers and Customers
The Directors have had regard to the need to maintain and foster the Company's business relationships with suppliers, customers and others, and that has been taken into account when decisions have been made during the

year. The Group strives to abide by the payment terms laid out in each purchase transaction, making payments to suppliers as they fall due.

Going Concern

The consolidated financial statements have been prepared on a going concern basis. The Group made a loss from continuing operations of £1,390k in the year ended 30 September 2020 and ended the year with net liabilities of £4,586k. As at 30 September 2020, the Group had cash and short-term deposits of £2,263k of which £637k was not client money holdings and was available for use by the Group.

The Group continues to hold £3.85m in debt finance with Bybrook Finance Solutions Limited ("BFSL") following the repayment of £600k of the facility in May 2021. The terms of this facility are outlined in note 23 to the Group financial statements. Agreement has been reached to extend the repayment date of this remaining balance to 31 July 2022. If not repaid by that date then the repayment date will be automatically extended to 31 December 2022 subject to the payment of a 10% arrangement fee.

The directors are in advanced discussions with the holders of £1.5m loan notes issued in connection with the post year-end acquisition of The Animal Healthcare Company.
Furthermore, the directors are in advanced discussions with banks to provide funding, and a major investor has indicated they will ensure the company will have access to such working capital as is required for at least 12 months from issuing these financial statements.

The Board has considered market conditions, the Group's financial position including its current cash reserves and the additional funds available from the committed funding facility, the Group's forecasts and projections, which allow for reasonable possible changes in trading performance. Having also assessed the impact of the Covid pandemic on the market and on the conduct of its operations the Board has a reasonable expectation that the Group and the Company have adequate resources to meet all current liabilities as they fall due and to continue in operational existence for the foreseeable future.

For these reasons, the Board continues to adopt the going concern basis in preparing the financial statements.

Disclosure of Information to the Auditors

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- So far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- The director has taken all the steps that ought to have been taken as a directors in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

This information is given and should be interpreted in accordance with the provisions of s418 of the Companies Act.

Directors' Responsibilities Statement

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.
Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of the affairs of the Company and of the profit or loss of the Company for that period.
In preparing these financial statements, the directors are required to:

- Select suitable accounting policies for the Company's financial statements and then apply them consistently;
- Make judgments and accounting estimates that are reasonable and prudent;
- State whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements.

- Prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of Corporate Governance Arrangements

The Group aims to deliver its services safely, ethically and professionally across all its operational territories and is committed to high standards of corporate governance appropriate to the size and complexity of the business.

The Board recognises that it is accountable to its shareholders for the Group's standard of governance and wherever appropriate, the Group uses external legal and financial advisers to assist it with compliance and best practice in these standards.

The Board remained compliant with the governance requirement of a standard listing through the year to 30 September 2020 and, following its delisting on 26 September 2020, the Board took the decision to continue to maintain governance levels at that standard.

Auditors

Pursuant to Section 485 of the Companies Act 2006, Bishop Fleming LLP have been reappointed as auditors.

Approval

The Directors' Report was approved by order of the Board on 30 June 2021

Andrew Paull
Secretary

Independent Auditor's Report to the Members of Premier Veterinary Group plc

Opinion

We have audited the financial statements of Premier Veterinary Group plc ("PVG" the 'parent **Company'**) and its subsidiaries (The **'Group'**) for the year ended 30 September 2020 which comprise the Consolidated Profit and Loss Account, the Consolidated and Company Statements of Financial Position, the Consolidated Statement of Cash Flows, the Consolidated Analysis of Net Debt, the Consolidated and Company Statement of Changes in Equity and the related notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the Group and of the parent company's affairs as at 30 September 2020, and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the group or the parent company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The directors are responsible for the other information. The other information comprises the information included in the Annual Report, other than the financial statements and our Auditor's Report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and

- the Strategic Report and the Directors' Report has been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of our knowledge and understanding of the Group and the parent Company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the Directors' Report.
We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors
As explained more fully in the directors' responsibilities statement set out on page 8, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.
In preparing the financial statements, the directors are responsible for assessing the Group's and the parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: https://www.frc.org.uk/Our-Work/Audit/Audit-and-assurance/Standards-and-guidance/Standards-and-guidance-for-auditors/Auditors-responsibilities-for-audit/Description-of-auditors-responsibilities-for-audit.aspx. This description forms part of our auditor's report.

Use of our report
This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

John Talbot FCA (Senior Statutory Auditor)
For and on behalf of Bishop Fleming LLP
Minerva House
Lower Bristol Road
Bath
BA2 9ER
Date:

Consolidated profit and loss account
for year ended 30 September 2020

	Note	**Year ended 30 September 2020 £'000**	Year ended 30 September 2019 £'000
Turnover	**8**	**3,997**	3,861
Cost of sales		**(465)**	(282)
Gross profit		**3,532**	3,579
Administrative expenses		**(4,482)**	(6,034)
Operating Loss	**5**	**(950)**	(2,455)
Interest payable and similar expense	**9**	**(731)**	(504)
Loss before tax		**(1,681)**	(2,959)
Tax on loss	**10**	**291**	33
Loss for the financial year		**(1,390)**	(2,926)
Currency translation differences on foreign currency net investments		**43**	(59)
Total comprehensive expense for the financial year		**(1,347)**	(2,985)

All amounts relate to continuing operations.

The notes on pages 19 to 42 form part of these financial statements.

Consolidated statement of financial position
as at 30 September 2020

	Note	**As at 30 September 2020 £'000**	As at 30 September 2019 (Restated) £'000
Fixed assets			
Tangible assets	**11**	**30**	23
Intangible assets	**12**	**426**	474
		456	497
Current assets			
Debtors: amounts falling due within one year	**14**	**496**	338
Cash at bank and in hand	**15**	**2,263**	1,553
		2,759	1,891
Creditors: amounts falling due within one year	**16**	**(7,498)**	(1,938)
Net current assets/(liabilities)		**(4,739)**	(47)
Total assets less current liabilities		**(4,283)**	450
Creditors: amounts falling due after more than one year	**17**	**(50)**	(3,619)
Provisions for liabilities			
Deferred taxation	**22**	**(89)**	(70)
Other provisions	**19**	**(164)**	-
		(253)	(70)
Net liabilities		**(4,586)**	(3,239)
Capital and reserves			
Called up share capital	**20**	**1,535**	1,535
Share premium		**5**	5
Share based payments reserve		**35**	35
Reverse acquisition reserves		**3,671**	3,671
Profit and loss account		**(9,832)**	(8,485)
		(4,586)	(3,239)

The notes on pages 19 to 42 form part of these financial statements.

The financial statements were approved and authorised for issue by the Board on 30 June 2021. They were signed on its behalf:

Dominic Tonner
Director

30 June 2021
Company registered number: 04313987

Company statement of financial position
as at 30 September 2020

	Note	As at 30 September 2020 £'000	As at 30 September 2019 (Restated) £'000
Fixed assets			
Tangible assets	**28**	**6**	4
Investments	**29**	**5**	5
		11	9
Current assets			
Debtors: amounts falling due within one year	**30**	**6,602**	5,297
Cash at bank and in hand		**5**	5
		6,607	5,302
Creditors: amounts falling due within one year	**31**	**(9,072)**	(3,243)
Net current assets/(liabilities)		**(2,465)**	2,059
Total assets less current liabilities		**(2,454)**	2,068
Creditors: amounts falling due after more than one year	**32**	**-**	(3,619)
Provisions for liabilities			
Other provisions	**34**	**(164)**	-
		(164)	-
Net liabilities		**(2,618)**	(1,551)
Capital and reserves			
Called up share capital	**35**	**1,535**	1,535
Share premium		**5**	5
Share based payments reserve		**35**	35
Profit and loss account		**(4,193)**	(3,126)
		(2,618)	(1,551)

The company has taken the exemption under section 408 of the Companies Act from preparing a Company profit and loss account. The Company's total comprehensive expense for the year was £1,067,000 (2019: £797,000).

The notes on pages 19 to 42 form part of these financial statements.

The financial statements were approved and authorised for issue by the Board and authorised for issue on 30 June 2021. They were signed on its behalf:

Dominic Tonner
Director

30 June 2021
Company registered number: 04313987

Consolidated statement of changes in equity
for the year ended 30 September 2020

	Note	Called up Share capital £'000	Share premium £'000	Share based payments reserve £'000	Reverse acquisition reserve £'000	Accumulated losses £'000	Total equity £'000
Balance as at 1 October 2018		1,535	5	35	3,671	(5,500)	(254)
Loss for the year		-	-	-	-	(2,926)	(2,926)
Currency translation difference on foreign currency net investments		-	-	-	-	(59)	(59)
Balance as at 1 October 2019		1,535	5	35	3,671	(8,485)	(3,239)
Loss for the year:		-	-	-	-	(1,390)	(1,390)
Currency translation difference on foreign currency net investments		-	-	-	-	43	43
Balance as at 30 September 2020		1,535	5	35	3,671	(9,832)	(4,586)

The notes on pages 19 to 42 form part of these financial statements.

Company statement of changes in equity

For the year ended 30 September 2020

	Note	Called up share capital £'000	Share premium £'000	Share based payments reserve £'000	Merger reserve £'000	Accumulated losses £'000	Total equity £'000
Balance as at 1 October 2018		**1,535**	**5**	**35**	**-**	**(2,329)**	**(754)**
Loss and total comprehensive expense for the year		-	-	-	-	(797)	(797)
Balance as at 1 October 2019		**1,535**	**5**	**35**	**-**	**(3,126)**	**(1,551)**
Loss for the year		-	-	-	-	(1,067)	(1,067)
Other comprehensive expense for the year		-	-	-	-	-	-
Balance as at 30 September 2020		1,535	5	35	-	(4,193)	(2,618)

The notes on pages 19 to 42 form part of these financial statements.

Consolidated statement of cash flows
for the year ended 30 September 2020

	Year ended 30 September 2020	Year ended 30 September 2019 (Restated)
	£'000	£'000
Cash flows from continuing operating activities		
Loss for the year	**(1,390)**	(2,926)
Interest payable and similar expenses	**731**	504
Differences on translation of operations in foreign currencies	**43**	(59)
Depreciation of property, plant and equipment	**12**	28
Amortisation of intangible assets	**183**	137
Decrease/(increase) in trade and other debtors	**(167)**	196
Increase/(decrease) in trade and other creditors	**1,025**	1,102
Taxation	**(291)**	(33)
Cash used in operations	**146**	(1,051)
Tax received	**291**	-
Net cash generated from operating activities	**437**	(1,051)
Cash flows from investing activities		
Purchase of Property, Plant & Equipment	**(19)**	(19)
Purchase of Intangible assets	**(135)**	(140)
Net cash used in investing activities	**(154)**	(159)
Cash flows from financing activities		
Loan notes issued and other loans received	**650**	3,850
Repayment of loan notes	**-**	(1,000)
Payment of loan arrangement fee	**(100)**	(350)
Interest paid	**(123)**	(385)
Net cash generated from /(used in) financing activities	**427**	2,115
Net increase/(decrease) in cash and cash equivalents	**710**	905
Cash and cash equivalents at beginning of year	**1,553**	648
Cash and cash equivalents at end of year	**2,263**	1,553
Shown as:		
Cash and cash equivalents	**2,263**	1,553
	2,263	1,553

The notes on pages 19 to 42 form part of these financial statements.

Included within the cash balances stated are restricted amounts held on behalf of clients which are not available for use by the Group. The amount of restricted client cash held this year is £1,627,000 (2019 Restated: £867,000).

Consolidated analysis of net debt
for the year ended 30 September 2020

	At 1 October 2019	Cash flows	Other non-cash changes	At 30 September 2020
	£'000	£'000	£'000	£'000
Cash and cash equivalents				
Cash	686	(50)	-	636
Restricted cash	867	760	-	1,627
	1,553	710	-	2,263
Borrowings				
Debt due within one year	-	(600)	(3,699)	(4,299)
Debt due after one year	(3,619)	(50)	3,619	(50)
	(3,619)	(650)	(80)	(4,349)
Total	(2,066)	60	(80)	(2,086)

The notes on pages 19 to 42 form part of these financial statements.

Notes to the financial statements
for the year ended 30 September 2020

1. Client cash held – prior period restatement

The accounts have been restated in order to disaggregate the client liabilities owed as at year end from the client cash holdings on the balance sheet. Previously, these liabilities had been netted off with the cash balances within cash on the balance sheet. The change has had no impact on the comprehensive loss or the net liability position for the year ended 30 September 2019:

Summary of the prior year accounting impact

	£'000
Increase in cash on the balance sheet, reflecting restricted client cash	867
Increase in trade and other payables on the balance sheet, reflecting client liability	867

See notes 15 and 16 for futher information.

2. General information

Premier Veterinary Group plc (the "**Company**") is incorporated as a public company and is registered under the Companies Act 2006 in England and Wales with registered number 04313987. Premier Veterinary Group plc and its subsidiaries (the "**Group**") provide non-medical services to other veterinary practices.

The registered office is New Bond House, Bond Street, Bristol BS2 9AG.

The Group has operations in Denmark, Netherlands, France, Germany, Ireland, UK and the USA.

These financial statements are presented in pounds sterling because that is the currency of the primary economic environment in which the group operates. Amounts are rounded to the nearest thousand, unless otherwise stated.

3. Significant accounting policies

The principal accounting policies adopted are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of preparation

The financial statements have been prepared on the historical cost basis, at fair value where required, and in accordance with Financial Reporting Standard 102 *"The Financial Reporting Standard"* applicable in the UK and Republic of Ireland ("FRS 102") and the Companies Act 2006.

FRS 102 grants certain first-time adoption exemptions from the full requirements of FRS 102. The following exemptions have been taken in these financial statements:

- Business combinations – Business combinations that took place prior to 1st January 2015 have not been restated.

The Company is included in the consolidated financial statements, and has adopted the reduced disclosure framework of FRS 102 in its current financial statements as allowed under section 408 of the Companies Act 2006. This is a change from last year when the Company's accounts were prepared in accordance with International Financial Reporting Standards (IFRS). This change enables the accounts to be presented in a more meaningful and useful way, and is permitted following the Company's de-listing from the London Stock Exchange.

Notes to the financial statements (continued)

Significant accounting policies (continued)

The presentational differences upon conversion from IFRS to FRS 102 are deemed to be minimal, although the following has been presented differently in these financial statements:

- Under IFRS, loan arrangement fees had been disclosed within prepayments as opposed to net off with the loan liabilities. Within these financial statements, the loan arrangement fees have been net off with the loan liabilities for both periods of account. For the year ended 30 September 2020, this amount was £151,000 (2019: £231,000).

In these financial statements, the Company has applied the exemptions available under FRS 102 in respect of the following disclosures:

- A Profit and Loss Account
- Disclosures in respect of transactions with wholly owned subsidiaries.

Going concern

The consolidated financial statements have been prepared on a going concern basis. The Group made a loss from continuing operations of £1,390k in the year ended 30 September 2020 and ended the year with net liabilities of £4,586k. As at 30 September 2020, the Group had cash and short-term deposits of £2,263k of which £1,626k was restricted client money holdings and was not available for use by the Group. Going forward, net liabilities will be managed in part by additional cash resource which will be provided by the acquisition of Animal Healthcare Company Limited.

The Group has an outstanding loan facility of £4.45m with Bybrook Financial Services Limited ("BFSL") (see note 18)

The directors are in advanced discussions with the holders of £1.5m loan notes issued post year-end in connection with the post year-end acquisition of The Animal Healthcare Company.

Furthermore, the directors are in advanced discussions with banks to provide funding, and a major investor has indicated they will ensure the company will have access to such working capital as is required for at least 12 months from issuing these financial statements.

On 30 June 2021 the Group reached an agreement whereby BFSL has agreed to a 12 month extention to the facility to 31 July 2022 with an option to extend to 31 December 2022 subject to the payment of a 10% arrangement fee.

After consideration of market conditions, the Group's financial position including; its current cash reserves and the funds available from the committed funding facility, the Group's forecasts and projections, which allow for reasonable possible changes in trading performance and after making enquiries, the Board has a reasonable expectation that the Group and the Company have adequate resources to meet all current liabilities as they fall due and to continue in operational existence for the foreseeable future.

The directors' opinion on the impacts of the coronavirus pandemic on the going concern status of the Group have been outlined in the Directors' Report.

For these reasons, the directors continue to adopt the going concern basis in preparing the financial statements.

Basis of consolidation

The financial statements consolidate all of the Group subsidiaries as of 30 September 2020 for the 12 month period ended 30 September 2020 as if they form a single entity.

Notes to the financial statements (continued)

Significant accounting policies (continued)

All transactions and balances between Group companies are eliminated on consolidation, including unrealised gains and losses on transactions between Group companies. Amounts reported in the financial statements of subsidiaries have been adjusted where necessary to ensure consistency with the accounting policies adopted by the Group.

Profit or loss and other comprehensive income of Group companies acquired or disposed of during the year are recognised from the effective date of acquisition, or up to the effective date of disposal, as applicable using the purchase method. Gain on disposal is calculated as the difference between the consideration receivable less the net assets disposed.

Turnover

Turnover for the Group is measured at the fair value of the consideration received or receivable. The Group recognises revenue for services provided when the amount of revenue can be reliably measured and it is probable that future economic benefits will flow to the entity. All intercompany revenues are eliminated on consolidation.

In the statement of financial position, the acquiree's identifiable assets/liabilities and contingent liabilities are initially recognised at their fair values at the acquisition date. The results of acquired operations are included in the consolidated profit and loss account from the date on which control is obtained. They are deconsolidated from the date control ceases.

During the financial year, the Group's primary income stream was generated from Premier Pet Care Plan. Fees received for the collection and management of monthly transactions on behalf of the veterinary practices external to the Group are recognised on a receipts basis. There are five elements within this income stream:

- Launch fees: Fee received from a new clinic upon launch of scheme.
- Admin fees: Fee paid by pet owner upon introduction to the scheme.
- Transactions fees: A flat fee received for every transaction processed.
- Home Delivery fees: Fees received for the facilitation of home delivery of pet care products to customers.
- Other: Additional external support fees and immaterial miscellaneous revenue.

Expenditure

Expenditure is recognised in respect of goods and services received when supplied in accordance with contractual terms. Provision is made when an obligation exists for a future outflow of resources relating to a past event and where the amount of the obligation can be reliably estimated.

Current and Deferred Taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in profit or loss except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.
The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the Statement of Financial Position date, except that:

Notes to the financial statements (continued)

Significant accounting policies (continued)

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

Intangible fixed assets

Intangible fixed assets acquired as part of a business combination are initially recognised at fair value and subsequently amortised on a straight-line basis over their useful economic lives. Externally acquired software solutions and customer lists are recognised initially at cost under the cost model, and subsequently at cost less any accumulated amortisation and any accumulated impairment losses, where it is probable that future economic benefit will flow to the company.

The significant intangibles recognised by the Group and their useful economic lives acquired in a business combination are as follows:

Customer lists	-	3 years straight line
Software	-	between 3-5 years straight line

The amortisation expense is recognised within “Administrative expenses” in the consolidated statement of comprehensive income.

Tangible fixed assets

Tangible fixed assets are recognised under the cost model at historical cost less accumulated depreciation and any accumulated impairment losses. As well as the purchase price, cost includes directly attributable costs.

Depreciation is provided so as to write off their carrying value over the expected useful economic lives. It is provided at the following rates:

Leasehold improvements	-	3 years straight line
Fixtures and fittings	-	3 years straight line
Office equipment	-	3-5 years straight line

The assets’ residual values, useful lives and depreciation methods are reviewed and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date. Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in profit or loss.

Valuation of investments

Investments in subsidiaries are measured at cost less accumulated impairment.

Notes to the financial statements (continued)

Significant accounting policies (continued)

Impairment of non-financial assets

Intangible assets with finite useful economic lives are subject to impairment tests when there is an indicator of impairment. The carrying values of non-financial assets are reviewed for impairment when there is an indication that assets might be impaired. When the carrying value of an asset exceeds its recoverable amount, the asset is written down accordingly. The recoverable amount is the higher of the value in use and the fair value less costs to sell.

Where it is not possible to estimate the recoverable amount of an individual asset, the impairment test is carried out on the asset's cash generating unit (i.e. the smallest group of assets in which the asset belongs for which there are separately identifiable cash flows).

Impairment charges are included in the consolidated statement of comprehensive income, except to the extent they reverse previous gains recognised in the consolidated statement of comprehensive income.
An impairment loss recognised for goodwill is not reversed.

Post-retirement benefits

The Group operates a defined contribution pension scheme and the pension charge represents the amounts payable by the Group to the fund in respect of the year.

Employee Benefit Trust

The Company operates an employee benefit trust (the Ark Therapeutics Family Benefit Trust ("FBT")) as part of its incentive plans for employees. All assets and liabilities within the Trust are recorded in the Statement of Financial Position as assets and liabilities of Premier Veterinary Group plc until such time as the assets are awarded to the beneficiaries. All income and expenditure of the Trust is similarly brought into the results of the Company.

Financial assets

The Group classifies its financial assets into the categories, discussed below, due to the purpose for which the asset was acquired.

Cash

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

In the Consolidated statement of cash flows, cash and cash equivalents are shown net of bank overdrafts that are repayable on demand and form an integral part of the Group's cash management. Cash is classified as restricted to the extent of the amounts that are payable to clients of the group. Operating cash is that to which the group has a right of use for working capital purposes.

Financial Instruments

The Group only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, loans from banks and other third parties, loans to related parties and investments in ordinary shares.

Notes to the financial statements (continued)

Significant accounting policies (continued)

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the Consolidated statement of comprehensive income.

Share capital

Financial instruments issued by the Group are treated as equity only to the extent that they do not meet the definition of a financial liability. The Group's ordinary and deferred shares are classified as equity instruments.

The share premium reserve represents the surplus of consideration paid for shares above their nominal value.

The reverse acquisition reserve represents the historic trading losses of the accounting acquiree.

Leased assets

Where substantially all of the risks and rewards incidental to ownership are not transferred to the Group (an 'operating lease'), the total rentals payable under the lease are charged to the consolidated statement of comprehensive income on a straight line basis over the lease term. The aggregate benefit of lease incentives is recognised as a reduction of the rental expense over the lease term on a straight-line basis.

Assets held under finance leases or hire purchase contracts are recognised as assets of the Group. The ownership of a leased asset is transferred to the lessee if the lessee bears substantially all the risks and rewards of ownership. They are capitalised in the statement of financial position at their fair value or, if lower, at the present value of the minimum lease payments, each determined at the inception of the lease and depreciated over their estimated useful lives or the lease term, whichever is shorter.

The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation. Lease payments are apportioned between finance charges and the reduction of lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged to profit and loss, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the Group's general policy on borrowing costs.

Debtors
Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

Creditors
Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

Dividends
Equity dividends are recognised when they become legally payable. Interim equity dividends are recognised when paid. Final equity dividends are recognised when approved by the shareholders at an annual general meeting.

Foreign currencies
Transactions in currencies other than the local functional currency are recorded at the rates of exchange on the dates of the transactions. At each balance sheet date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the balance sheet date, with differences recognised in profit or loss in the period in which they arise.

Notes to the financial statements (continued)

Significant accounting policies (continued)

On consolidation, the assets and liabilities of the Group's overseas operations are translated at exchange rates prevailing on the balance sheet date. Income and expense items are translated at the average exchange rates for the period.

Share-based payments

The cost of equity-settled transactions is measured by reference to the fair value of the instruments granted at the date at which they are granted and is recognised as an expense over the vesting period, which ends on the date on which the relevant party become fully entitled to the award. Fair value is determined using the Black-Scholes pricing model. No account is taken of any vesting conditions other than conditions linked to the market conditions of the Company in measuring fair value.

At each period end date before vesting, the cumulative expense is calculated; representing the extent to which the vesting period has expired and management's best estimate of the achievement or otherwise of non-market conditions and of the number of equity instruments that will ultimately vest. The movement in cumulative expenses since the previous statement of financial position date is recognised in the statement of comprehensive income with a corresponding entry in the statement of changes in equity.

Upon exercise of share options, the proceeds received, net of any directly attributable transaction costs, are allocated to share capital up to the nominal (or par) value of the shares issued with any excess being recorded as share premium.

Significant accounting estimates and judgements

The Group makes certain estimates and assumptions regarding the future. Estimates and judgements are continually evaluated based on historical experience and other factors, including the expectations of future events that are believed to be reasonable under the circumstances. In the future, actual experience may differ from these estimates and assumptions. Management have considered estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year and the most significant matter is the directors' consideration of Going Concern which is specifically addressed earlier in this note 3.
Elsewhere, significant judgements are also made with regards the useful economic lives of intangible fixed assets and the recoverability of external and intercompany debtor balances.

4. Financial instruments – risk management

The Board has overall responsibility for the determination of the Group's risk management objectives and policies. The overall objective of the Board is to set policies that seek to reduce risk as far as possible without unduly affecting the Group's competitiveness and flexibility. The Group reports in Sterling. All funding requirements and financial risks are managed based on policies and procedures adopted by the Board. The Group may use derivative financial instruments such as forward currency contracts, interest rate swaps or similar instruments. The Group does not issue or use financial instruments of a speculative nature.

The Group is exposed to the following financial risks:
- Foreign currency risk
- Interest rate risk
- Liquidity risk
- Credit risk
- Capital risk management

Notes to the financial statements (continued)

Financial instruments – risk management (continued)

In common with all other businesses, the Group is exposed to risks that arise from its use of financial instruments. The principal financial instruments used by the Group, from which financial instrument risk arises, are as follows:

- Trade and other receivables
- Cash and cash equivalents
- Trade and other payables
- Loan notes

Trade and other receivables are measured at amortised cost less provision for impairment. Carrying values and expected cash flows are reviewed by the Board and any impairment charged to the consolidated statement of comprehensive income in the relevant period.

Cash and cash equivalents are held in reputable banks in the jurisdictions in which the Group operates. Trade and other payables are measured at amortised cost.

Foreign currency risk management
Exchange rate exposures are managed within approved policy parameters, and may utilise spot purchases of foreign currencies, options or forward contracts. There were no options or forward contracts during the year. Expenditure in foreign currencies are matched to revenue providing a natural hedge and thereby providing limited exposure. Management continually review forecast of expenditure in foreign currencies and monitor the impact of adverse foreign currency movements.

Interest rate risk management
The Group has external borrowings of £4,500,000 (2019 - £3,850,000). Finance costs relating to these balances were at fixed interest rates and total £731,000 (2019 - £504,000). This included an arrangement fee of £180,000 (2019: £119,000). If interest rates had been 0.5% higher/lower and all other variables were held constant, the Group's loss for the year ended 30 September 2020 would increase/decrease by £nil (2019: £nil).

Liquidity risk management
Responsibility for liquidity risk management rests with the Board of Directors, which has built an appropriate liquidity risk management framework for the management of the Group's short, medium and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves and by continuously monitoring forecast and actual cash flows and matching profiles of financial assets and liabilities.

Credit risk
The Group's credit risk is attributed to its cash and cash equivalents and receivables balances. For cash and cash equivalents the Group only transacts with counterparties with high credit ratings assigned by international credit rating agencies. At 30 September 2020, the Group had £nil market investments (2019: £nil). In accordance with the Group's Investment policy, money is only placed with institutions that hold at least “A-", "A3" or "A1" ratings with Standard & Poor’s, Moody’s Investor Service and Fitch Ratings respectively. Further, the policy limits the maximum exposure of money market investments with any one institution. Receivables from related parties are repayable in line with agreed terms or on demand. There is not considered to be any risk of impairment of these receivables unless the financial assets of the entity holding the corresponding liability are impaired.

Notes to the financial statements (continued)

Financial instruments – risk management (continued)

Capital risk management

The Group manages its capital to ensure that group entities will be able to continue as going concerns while maximising the return to stakeholders. The capital structure of the Group consists of cash and cash equivalents and equity (comprising issued capital (note 20), reserves and retained earnings as disclosed in the Group statement of changes in equity). Management monitors distributable reserves and has plans in place to reduce the deficit in retained earnings.

The Group is not subject to externally imposed capital requirements.

5. Operating loss

The operating loss is stated after charging:

	Year ended 30 September 2020 £'000	Year ended 30 September 2019 £'000
Depreciation		
- owned by the Group	**12**	28
Amortisation of other intangibles	**183**	137
Operating Lease payments		
- Land and buildings	**75**	76
- Other	**55**	51
Fees payable to the Group auditors:		
Audit fees		
- For the audit of the Group annual accounts	**26**	29
- For the audit of the accounts of subsidiaries	**2**	20
Non-Audit fees*		
Audit related assurance services	**1**	-
Tax compliance services	**5**	-

6. Employees

Staff costs, including directors' remuneration were as follows:

	Year ended 30 September 2020 Total £'000	Year ended 30 September 2019 Total £'000
Wages and salaries	**2,331**	2,781
Social security costs	**353**	388
Other pension costs	**47**	91
	2,731	3,260

Notes to the financial statements (continued)

Employees (continued)

The average monthly number of employees during the period was as follows:

	Year ended 30 September 2020 Total	Year ended 30 September 2019 Total
Directors	**5**	5
Management	**5**	6
Finance	**5**	5
IT	**3**	4
Customer Services	**7**	8
Sales	**3**	4
Trainers	**16**	19
Total	**44**	51

7. Key management remuneration

Key management personnel have received the following remuneration during the financial year:

	Year ended 30 September 2020 £'000	Year ended 30 September 2019 £'000
Salaries and taxable benefits	**682**	630
Company contributions to defined contribution pension schemes	**41**	41
	723	671

Included in salaries and taxable benefits paid to key management above is remuneration paid to statutory directors of £682,000 (2019: £630,000).

Key management personnel consist of the executive and non-executive directors of Premier Veterinary Group plc.

During the year key management exercised no share options (2019: nil). Outstanding options at the end of the year to key management were 279,035 (2019: 279,035).

The highest paid director received remuneration of £335,000 (2019: £272,000).

During the year, contributions to a defined contribution pension scheme was made on behalf of the highest paid director of £20,000 (2019: £20,000).

Notes to the financial statements (continued)

8. Segmental reporting

Management have defined operating segments as those on which results are considered by the Management Team. Central administrative expenses (including amortisation, impairment and depreciation), finance costs and income tax expenses are monitored centrally and are not allocated to operating segments. Further to this, assets and liabilities are not allocated to operating segments as they are shared by the Group. These operating segments are monitored and strategic decisions are made on the basis of adjusted segment operating results.

The Premier Pet Care Plan ("PPCP") business is organised in three geographical regions as follows:

- *PPCP United Kingdom*
- *PPCP Europe (including Republic of Ireland)*
- *PPCP US*

All revenue is derived from external customers.

	PPCP UK £'000	PPCP Europe £'000	PPCP US £'000	Total £'000
Year ended 30 September 2020				
Group's revenue per consolidated profit and loss	**2,116**	**873**	**1,008**	**3,997**
Gross profit	**1,987**	**838**	**707**	**3,532**
Administrative expenses	(1,702)	(778)	(917)	(3,397)
Profit/(loss) before central costs	**285**	**60**	**(210)**	**135**
Central unallocated administrative costs				(1,085)
Interest payable and similar expenses				(731)
(Loss)/Profit before income tax				**(1,681)**
Year ended 30 September 2019				
Group's revenue per consolidated profit and loss	**2,106**	**924**	**831**	**3,861**
Gross profit	**2,045**	**870**	**664**	**3579**
Administrative expenses	(1,686)	(1,537)	(1,374)	(4,597)
Profit/(loss) before central costs	**359**	**(667)**	**(710)**	**(1,018)**
Central unallocated administrative costs				(1,437)
Interest payable and similar expenses				(504)
(Loss)/Profit before income tax				**(2,959)**

Revenue	**Year ended 30 September 2020 £'000**	Year ended 30 September 2019 £'000
Denmark	**(1)**	9
Ireland	**19**	20
Netherlands	**550**	600
France	**304**	294
Germany	**1**	1
USA	**1,008**	831
UK	**2,116**	2,106
Total	**3,997**	3,861

Notes to the financial statements (continued)

9. Interest payable and similar expenses

	Year ended 30 September 2020 £'000	Year ended 30 September 2019 £'000
Other loan interest payable	**543**	385
Amortised arrangement fees	**180**	119
Legal fees	**8**	
	731	504

10. Taxation

	Year ended 30 September 2020 £'000	Year ended 30 September 2019 £'000
Corporation tax		
Current tax		
Current tax on loss for the year	–	–
Research and development tax credit received	(310)	
Adjustment for under provision in prior years	–	–
	(310)	–
Deferred tax		
Origination and reversal of temporary differences	**18**	(28)
Adjustments in respect of prior years	–	(8)
Other permanent differences	**5**	–
Effects of changes in tax rates	**(4)**	3
Total tax expense / (credit)	**(291)**	(33)

Factors affecting tax charge for the period
The tax assessed for the period is higher than (2019: higher) the standard rate of corporation tax in the UK of 19%. The differences are explained below:

	Year ended 30 September 2020 £'000	Year ended 30 September 2019 £'000
Loss on ordinary activities before tax	**(1,681)**	(2,959)
Tax using the Company's standard tax rate of 19% (2019: 19%)	**(319)**	(561)
Effects of:		
Expenses not deductible for tax purposes	**9**	14
Deferred tax not recognised	**409**	519
Adjustment in respect of prior years	**-**	(8)
Effects of changes in tax rates	**(80)**	3
Research and development tax credit received	**(310)**	-
Total income tax expense/(credit)	**(291)**	(33)

Factors that may affect future tax charges
There were no factors that may affect future tax charges.

Notes to the financial statements (continued)

11. Tangible fixed assets

	Leasehold Improvements £'000	Fixtures and Fittings £'000	Office Equipment £'000	Total £'000
Cost				
As at 1 October 2018	21	19	91	131
Additions	2	-	17	19
Disposals	-	-	-	-
As at 30 September 2019	**23**	**19**	**108**	**150**
Additions	-	-	19	19
Disposals	-	-	-	-
As at 30 September 2020	23	19	127	169
Accumulated depreciation				
As at 1 October 2018	16	12	71	99
Charged in the year	6	6	16	28
Eliminated on disposals	-	-	-	-
As at 30 September 2019	**22**	**18**	**87**	**127**
Charged in the year	**-**	**1**	**11**	**12**
Eliminated on disposals	-	-	-	
Fully depreciated items removed	-	-	-	
As at 30 September 2020	22	19	98	139
Net book value				
As at 30 September 2020	1	-	29	**30**
As at 30 September 2019	1	1	21	23

Notes to the financial statements (continued)

12. Intangible fixed assets

	Software £'000	Customer lists £'000	Total £'000
Cost			
As at 1 October 2018	766	91	857
Additions	141	-	141
Disposals	-	(1)	(1)
As at 30 September 2019	907	91	997
Additions	135	-	135
Disposals	-	-	-
As at 30 September 2020	**1,042**	**90**	**1,132**
Amortisation/Impairment			
As at 1 October 2018	355	31	386
Elimination on disposal	-	-	-
Charged in the year	107	30	137
As at 30 September 2019	462	61	523
Elimination on disposal	-	-	-
Charged in the year	154	29	183
As at 30 September 2020	**616**	**90**	**706**
Net book value			
As at 30 September 2020	**426**	**-**	**426**
As at 30 September 2019	445	29	474

Amortisation charged in the year is included within Administrative expenses in the consolidated profit and loss account.

Notes to the financial statements (continued)

13. Fixed asset investments

The subsidiaries of the Company, all of which have been included in the consolidated financial information, are as follows:

Name	Principal activity	Country of incorporation	Ownership/Voting power
PVG 2007 Limited	Holding company	United Kingdom	100%
Premier Vet Alliance Limited	Provide services to third party veterinary practices	United Kingdom	100%
Premier Vet Alliance (US) Limited	Provide services to third party veterinary practices	United Kingdom	100%
Premier Vet Alliance B.V	Provide services to third party veterinary practices	Netherlands	100%
Premier Vet Alliance s.r.l	Provide services to third party veterinary practices	France	100%
Premier Vet Alliance GmbH	Provide services to third party veterinary practices	Germany	100%
Premier Vet Alliance A.p.s	Provide services to third party veterinary practices	Denmark	100%
Premier Vet Alliance llc	Provide services to third party veterinary practices	United States of America	100%
WVS Limited	Non - trading	United Kingdom	100%

The registered office address of PVG 2007 Limited, Premier Vet Alliance Limited, Premier Vet Alliance (US) Limited and WVS Limited is New Bond House, Bond Street, Bristol, BS2 9AG.

The registered office addresses of the overseas subsidiaries are as follows:
Premier Vet Alliance B.V., Singel 540, 1017 AZ Amsterdam, The Netherlands.
Premier Vet Alliance A.p.s, Stockholmsgade 41, 2100, Copenhagen, Denmark.
Premier Vet Alliance s.r.l., 37-39 avenue Ledru-Rollin, 75012, Paris, France
Premier Vet Alliance GmbH, Rahel-Hirsch- Strasse 10, 10557 Berlin, Germany
Premier Vet Alliance LLC, 295 W Crossville Rd, Ste 740, Roswell, Georgia, 30075-6229, USA

PVG 2007 and Premier Vet Alliance (US) Limited are both directly owned by Premier Veterinary Group PLC. All other subsidiaries are indirectly owned as a result of the ownership of PVG 2007 and PVA (US) Limited.

PVG 2007 Limited and Premier Vet Alliance Limited have both elected to take the audit exemption allowed under s479A of the Companies Act 2007 relating to its individual statutory accounts.

14. Debtors

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
Trade debtors	**21**	148
Other debtors	**21**	31
Prepayments and accrued income	**454**	159
	496	338

All amounts are considered to be receivable within one year.

Included in prepayments are pre-acquisition costs of £310,000, these relate to a business acquisition which took place on 12 October 2020.

Notes to the financial statements (continued)

15. Cash and cash equivalents

	As at 30 September 2020	As at 30 September 2019 (Restated)
	£'000	£'000
Cash available to the Group	636	686
Client cash	1,627	867
	2,263	1,553

Client cash is cash held on trust for the benefit of the Group's clients and is restricted, so is not available for use by the Group, and £1,085k of the balance is secured by way of debenture on all company assets.

16. Creditors: amounts falling due within one year

	As at 30 September 2020	As at 30 September 2019 (Restated)
	£'000	£'000
Trade creditors	1,946	1,065
Other tax and social security	512	361
Other creditors	24	37
Accruals and deferred income	717	475
Other loans	4,299	-
	7,498	1,938

Book values approximate to fair values at 30 September 2020 and 2019.

Included within trade creditors is a liability representing an amount of client cash which was held by the group as at the 30th September 2020. This amount is £1,627,000 (2019 Restated: £867,000).

17. Creditors: amounts falling due after more than one year

	As at 30 September 2020	As at 30 September 2019 (Restated)
	£'000	£'000
Other loans	-	3,619
Bank loan	50	-
	50	3,619

18. Loans and borrowings

	As at 30 September 2020	As at 30 September 2019
	£'000	£'000
Loan facility	4,299	3,619
Bank loan	50	-
	4,349	3,619

On the 25 January 2019 the Company entered into a term loan facility of £3,850,000 with Bybrook Financial Services Limited ("BFSL") whilst simultaneously repaying the previously issued £1,500,000 loan notes to BFSL. The Company had the right to repay the facility in full or in part before maturity. The loan was due for

Notes to the financial statements (continued)

Loans and borrowings (continued)
repayment 24 months after the drawdown date but this has subsequently been extended to July 2022. Further details in respect of of the loan are provided in note 24.

In addition PVG entered into a further agreement with BFSL to provide an additional secured loan facility of £1.1m. The first tranche of £0.6m was drawn down on 29 January 2020, with two further tranches of £0.25m each available for draw down at PVG's request on 22 May 2020 and 24 July 2020. The two further tranches were not drawn down and the £0.6m first tranche was repaid by the Company in May 2021.

On 1 May 2020 PVA Ltd entered into a loan facility of £50,000 with NatWest Bank. The loan is due for repayment in monthly instalments over 5 years, commencing after 12 months from drawdown, the final instalment is due in April 2026. The loan attracts interest at 2.5%.

	As at 30 September 2020	As at 30 September 2019
Ageing of bank and other loans:	**£'000**	£'000
Repayable within 1 year	**4,299**	3,619
Repayable within 2-5 years	**44**	-
Repayable after 5 years	**6**	-
	4,349	3,619

BFSL holds a fixed and floating charge over all the property and undertakings of the group.

19. Provisions for liabilities

	Bonus
	£'000
At 1 October 2019	-
Charged to profit or loss	164
At 30 September 2020	164

The amounts provided for are bonuses payable to a number of the directors if respect of performance during the year ended 30 September 2020.

20. Called up share capital

	No.	**Ordinary shares £'000**	**Total £'000**
Shares at 1 October 2019 (Ordinary 10 pence)	15,346,950	1,535	1,535
Share options and warrants exercised	-	-	-
Shares 30 September 2020 (Ordinary 10 pence)	15,346,950	1,535	1,535
Share options and warrants exercised	-	-	-
Shares 30 September 2020 (Ordinary 10 pence)	**15,346,950**	**1,535**	**1,535**

Notes to the financial statements (continued)

21. Share-based payments

Options over ordinary shares were granted on 13 February 2019 under the 2014 Ark Therapeutics Group plc* Enterprise Management Incentive Share Option Plan and the 2014 Ark Therapeutics Group plc* Unapproved Share Option Plan (together, the "Plans") at an exercise price of 46.17 pence per share.

Options over ordinary shares that were granted on 3 March 2017 at an exercise price of 238.75 pence per share were cancelled or surrendered during the year.

Subject to the achievement of pre-determined performance criteria, the options granted under the Plans are exercisable three years from the date of grant.

* Ark Therapeutics Group plc changed its name to Premier Veterinary Group plc in March 2015.

The fair value of the options has been calculated using the Black Scholes model. The weighted average fair value of the options at measurement date was nil pence per option.

Options and warrants outstanding	**Year ended 30 September 2020 No.**	Year ended 30 September 2019 No.
At beginning of year	**418,522**	399,035
Exercised during year	**-**	-
Cancelled/surrendered during the year	**-**	(120,000)
Granted during year	**-**	139,517
At end of year	**418,522**	418,552

	Number of options	**Weighted average exercise price (pence)**	**Latest exercise date**
Options and warrants exercisable			
At 30 September 2020	418,552	22.1	12/02/2029
At 30 September 2019	418,552	22.1	12/02/2029

The fair value of share options expense recognised in the year is determined using the Black-Scholes model, which takes into account the terms and conditions upon which the shares were awarded. For this purpose, a share price of 238.75p, volatility of 30.6% and a risk free rate of 0.5% was assumed. The Group recognized a charge £Nil (2019: £nil) in relation to share based payment.

There were no options and warrants exercised during the period (2019: nil).

Notes to the financial statements (continued)

22. Deferred tax provision

Deferred tax is calculated in full on temporary differences under the statement of financial position method using a tax rate of 19% (2019: 19%).

The movement on the deferred tax account is as shown opposite:

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
At the beginning of the year	**(70)**	(103)
Tax (expense)/credit	**(19)**	33
At the end of the year	**(89)**	(70)

The deferred tax liability comprises temporary timing differences attributable to:

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
Property, plant and equipment	**(13)**	(11)
Intangible asset rollover relief	**(67)**	(60)
Other temporary timing differences	**(9)**	1
Closing provision	**(89)**	(70)

No deferred tax asset has been recognised in respect of historic losses as the utilisation of such losses is uncertain. At the 30 September 2020 there were unutilised tax losses carried forward in the UK and in overseas territories which totalled £12.8m (30 September 2019 - £11.4m).

23. Commitments under operating leases

At the statement of financial position date, the Group had outstanding commitments for future minimum operating lease payments under non-cancellable operating leases, which fall due as follows:

	Land and buildings		**Other**	
	As at 30 September 2020	As at 30 September 2019	**As at 30 September 2020**	As at 30 September 2019
Expiry date:	**£'000**	£'000	**£'000**	£'000
Not later than one year	**71**	76	**45**	73
Later than one year and not later than five years	**30**	51	**18**	56
Later than five years	**-**	-	**-**	-
	101	127	**63**	129

Notes to the financial statements (continued)

24. Related parties

The Group operates the Ark Therapeutics Group plc Family Benefit Trust ("FBT"). Amounts due from the FBT were £Nil (30 September 2019: £Nil).

On 25 January 2019 a secured term loan facility was provided by BFSL of £3,850,000. £1,500,000 was provided to repay the previously issued loan notes and £2,350,000 was provided for the purposes of financing working capital and paying the arrangement fee. The facility was repayable 24 months after the date of the agreement. In the event of early repayment, the interest for any unexpired period to the end of the full term would become payable.

On 29 January 2020 the Group announced that an agreement had been reached whereby BFSL has agreed to the roll up of monthly interest payments and the extension of the repayment date of the £3.85m facility accrued interest to 31 July 2021. This date has subsequently been extended until 31 July 2022 with an option to extend to 31 December 2022 subject to the payment of a 10% arrangement fee.

In addition PVG entered into a further agreement with BFSL to provide an additional secured loan facility of £1.1m. The first tranche of £0.6m was drawn down on 29 January 2020, with two further tranches of £0.25m each available for draw down at PVG's request on 22 May 2020 and 24 July 2020. These further tranches could only be drawn down by PVG if on or before 30 April 2020 it had issued BFSL with warrants to subscribe for up to 383,673 new PVG ordinary shares of 10p each at an exercise price of 10p per share within 5 years of the issue of any such warrants. Due to the coronavirus pandemic, the annual general meeting of the Group was postponed, accordingly the warrants could not be issued, as a consequence the second and third tranches were cancelled on 30 April 2020. Interest of 1% per month accrues on the loan facility on a monthly compound basis and is added to the total loan amount. The total loan together with the accrued interest was repayable on 30 April 2020 with an option for PVG to extend the repayment date to 31 July 2021 by issuing the warrants referred to above. Following the cancellation of the second and third tranches, due to the warrants not being issued, on 1 May 2020 a deed supplemental to the agreement of 29 January 2020, was issued, this deed confirmed that the final repayment date would be extended to 31 July 2021 and interest would accrue on the aggregate amount of the loan. The £0.6m drawn under this additional secured loan facility was repaid in May 2021.

At 30 September 2020, amounts owed to BFSL were £4,450,000 (30 September 2019: £3,850,000). Interest, arrangement fees and other attributable expenses charged during the year were £731,000 (2019: £504,000).

Rajan Uppal, a director of the Company, is the sole shareholder and director of BFSL. Crossroads Finance Limited, a company jointly owned and controlled by Dominic Tonner, Chief Executive Officer of PVG, and his spouse, has taken part in the PVG funding by entering into direct arrangements with BFSL.

25. Controlling party

At the year end there was no individual controlling party.

26. Financial assets and liabilities

Financial instruments by category	**As at 30 September 2020**	As at 30 September 2019 (Restated)
	£'000	£'000
Loans and receivables as per statement of financial position		
Trade and other debtors excluding prepayments and accrued income	**42**	179
Cash and cash equivalents	**2,263**	1,553
	2,305	1,732

Notes to the financial statements (continued)

Financial liabilities at amortised cost as per statement of financial position		
Trade and other creditors excluding accruals and deferred income	**2,349**	1,330
Loans and borrowings	**4,349**	3,619
	6,698	4,949

A description of the Group's financial instruments, including risk management objectives and policies is given in note 4.

The current year loan and borrowings carry an interest rate of 12% (2019 – 12%), these loans are secured. Restricted client cash included within the cash balance is £1,627,000 (2019 Restated: £867,000).

27. Post balance sheet events

On October 12 2020 the Group completed the acquisition of 100% of the share capital of The Animal Healthcare Company Limited which was financed by a convertible loan of £1.53m (convertible to 15,346,949 Ordinary Shares and a £1.5m short term loan). This is a non-adjusting post balance sheet event. Pre acquisition costs of £310,000 are included in prepayments.

In May 2021, the Group repaid £600k of the Bybrook Financial Services Limited loan facility. The remaining balance of £3,850,000 is due for repayment in July 2022 following the agreement of 12 month extension to the current facility with an option to extend until 31 December 2022.

Notes to the Company financial statements for the year ended 30 September 2020

28. Tangible fixed assets

	Office Equipment £'000	Total £'000
Cost		
As at 1 October 2019	5	5
Additions	4	4
As at 30 September 2020	**9**	**9**
Accumulated depreciation		
As at 1 October 2019	1	1
Charged in the year	2	2
As at 30 September 2020	**3**	**3**
Net book value		
As at 30 September 2020	**6**	**6**
As at 30 September 2019	4	4

29. Fixed asset investments

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
Shares in Group undertakings at cost and net book value		
As at start and end of year	**5**	5

The details of subsidiaries of the Company are included in note 13 of the consolidated financial statements.

30. Debtors

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
Balances due from Group companies	**6,258**	5,219
Other debtors	**-**	4
Prepayments and accrued income	**344**	74
	6,602	5,297

All amounts are considered to be receivable within one year.

Included in prepayments are pre-acquisition costs of £310k, these relate to a business acquisition which took place on 12 October 2020.

Notes to the Company financial statements (continued)

31. Creditors: amounts falling due within one year

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
Trade creditors	**169**	26
Balances due to Group companies	**3,994**	3,110
Other creditors	**-**	-
Other taxation and Social security	**115**	32
Accruals	**495**	75
Other loans	**4,299**	-
	9,072	3,243

32. Creditors: amounts falling due after one year

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
Other loans	**-**	3,619
	-	3,619

33. Loans and borrowings

	As at 30 September 2020 £'000	As at 30 September 2019 £'000
Other loans	**4,299**	3,619
	4,299	3,619

On the 25 January 2019 the Company entered into a term loan facility of £3,850,000 with Bybrook Financial Services Limited ("BFSL") whilst simultaneously repaying the previously issued £1,500,000 loan notes to BFSL. The Company has the right to repay the facility in full or in part before maturity. Further details in respect of the loan are provided in note 24.

On 29 January 2020 the Group announced that an agreement had been reached whereby BFSL agreed to the roll up of monthly interest payments and the extension of the repayment date of the £3.85m facility accrued interest to 31 July 2021. The repayment date has subsequently been extended to the 31 July 2022 with an option to extend to 31 December 2022 subject to the payment of a 10% arrangement fee.

In addition PVG entered into a further agreement with BFSL to provide an additional secured loan facility of £1.1m. The first tranche of £0.6m was drawn down on 29 January 2020., with two further tranches of £0.25m each available for draw down at PVG's request on 22 May 2020 and 24 July 2020. These further tranches could only be drawn down by PVG if on or before 30 April 2020 if has issued BFSL with warrants to subscribe for up to 383,673 new PVG ordinary shares of 10p each at an exercise price of 10p per share within 5 years of the issue of any such warrants. Due to the coronavirus pandemic, the annual general meeting of the Group was postponed, accordingly the warrants could not be issued, as a consequence the second and third tranches were cancelled on 30 April 2020. The £0.6m first tranche was repaid in full in May 2021.

Ageing of bank and other loans:	**As at 30 September 2020 £'000**	As at 30 September 2019 £'000
Repayable within 1 year	**4,299**	-
Repayable within 1 – 2 years	**-**	3,619
	4,299	3,619

Notes to the Company financial statements (continued)

34. Provisions for liabilities

	Bonus £'000
At 1 October 2019	-
Charged to profit or loss	164
At 30 September 2020	164

The amounts provided for are bonuses payable to a number of the directors if respect of performance during the year ended 30 September 2020.

35. Called up share capital

	Ordinary shares		Deferred shares		Total
	No.	£'000	No.	£'000	£'000
Shares at 1 October 2018 (Ordinary 10 pence)	15,346,950	1,535	-	-	1,535
Share options and warrants exercised	-	-	-	-	-
Shares 30 September 2019 (Ordinary 10 pence)	15,346,950	1,535	-	-	1,535
Share options and warrants exercised	-	-	-	-	-
Shares 30 September 2020 (Ordinary 10 pence)	**15,346,950**	**1,535**	**-**	**-**	**1,535**

Company Information

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New Bond House
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DIRECTORS
Graham Dick
Andrew Paull
Dominic Tonner
Rajan Uppal
Neil Wood

COMPANY REGISTRATION NUMBER

04313987

COMPANY SECRETARY

Andrew Paull

ADVISERS

INDEPENDENT AUDITORS
Bishop Fleming LLP
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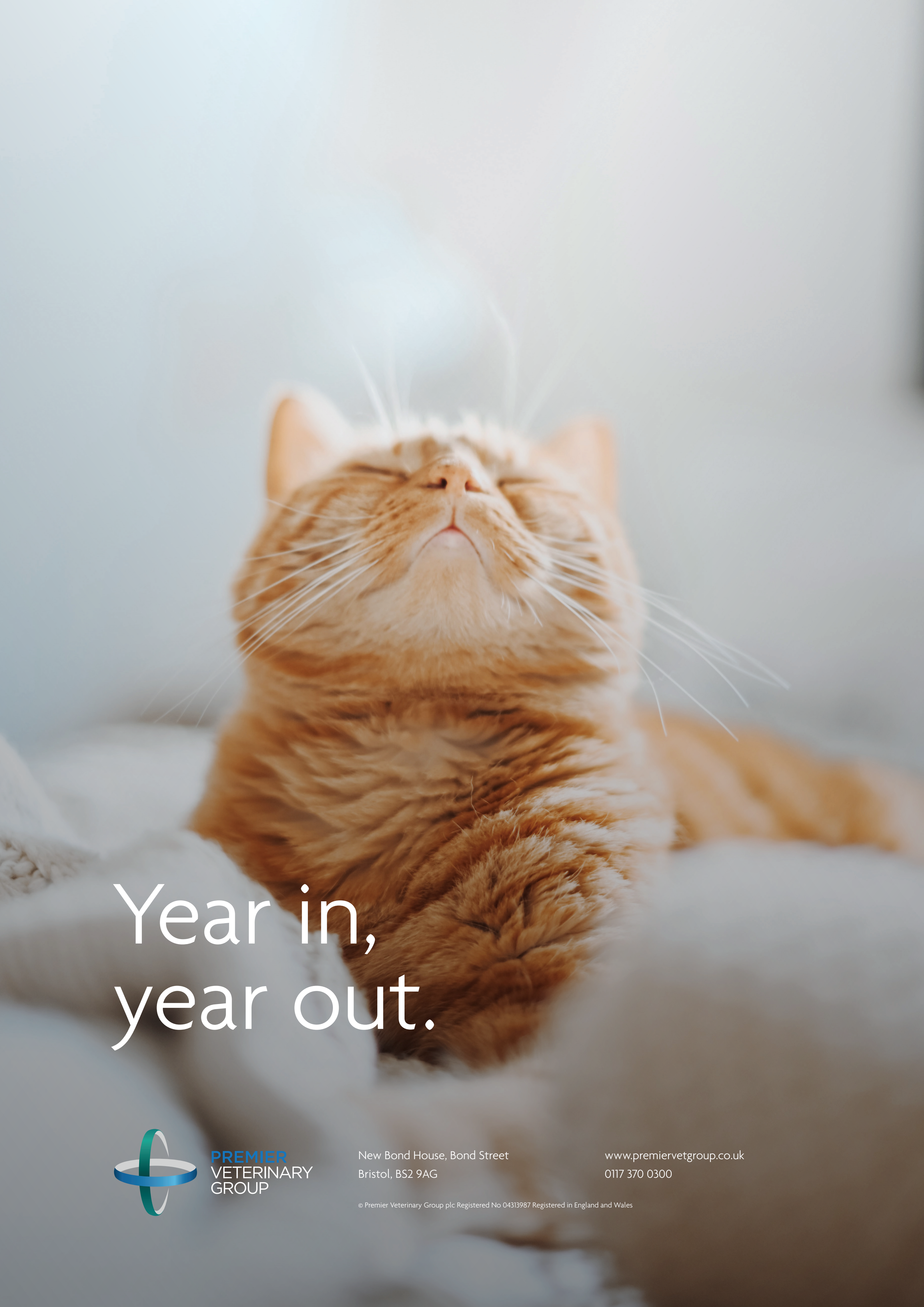

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